

The Payroll Compliance Pack

Everything an employer must do, monthly and annually

WHO THIS IS FOR

Any employer with even one person on the payroll, including domestic employers.

WHAT IS INSIDE

- The full registration checklist for a new employer
- A monthly payroll run checklist
- The twice-yearly reconciliation process explained
- What must appear on a legally compliant payslip

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Registering as an employer

Before the first payslip is issued, the registrations must exist. Doing this late creates backdated liabilities and penalties that are entirely avoidable.

- ☐ PAYE registration with SARS
- ☐ UIF registration with SARS, and with the Department of Employment and Labour
- ☐ SDL registration with SARS, where your annual payroll exceeds the threshold
- ☐ COIDA registration with the Compensation Fund
- ☐ A registered representative appointed and verified on eFiling
- ☐ Employment contracts issued to every employee, as the BCEA requires

Employers must contribute to UIF for employees working more than 24 hours a month, which includes domestic workers.

The monthly payroll run

- ☐ Capture new starters with their tax numbers and banking details
- ☐ Process terminations, including leave paid out and final pay
- ☐ Capture changes: increases, commission, overtime, bonuses, unpaid leave
- ☐ Process taxable fringe benefits — company cars, accommodation, low-interest loans
- ☐ Check that the Employment Tax Incentive is claimed for every qualifying employee
- ☐ Run the payroll and review the variance against last month before paying anyone
- ☐ Issue payslips to every employee
- ☐ Pay net salaries
- ☐ Submit the EMP201 and pay PAYE, UIF and SDL by the 7th
- ☐ Post the payroll journal into the accounting system
- ☐ Submit the UI-19 declaration of employees

What must be on a payslip

The BCEA requires a written statement with each payment. A bank transfer alone is not compliance.

- The employer's name and address
- The employee's name and occupation
- The period the payment covers
- Remuneration in money, and the rate and hours where relevant
- Overtime, Sunday and public holiday pay shown separately
- Every deduction, itemised — PAYE, UIF, and anything else

- The actual amount paid

The twice-yearly reconciliation

The EMP501 reconciles three things that must agree: what you declared on your EMP201s, what you actually paid to SARS, and the IRP5 and IT3(a) certificates issued to employees. Where they disagree, SARS assumes the certificates are right and the payments are short.

- ☐ Interim reconciliation after the August payroll, in the window SARS announces
- ☐ Annual reconciliation after the February payroll
- ☐ Agree total PAYE, UIF and SDL per the payroll to the EMP201s submitted
- ☐ Agree the EMP201s to the payments made, month by month
- ☐ Check every employee has a valid tax number
- ☐ Verify addresses and banking details on the certificates
- ☐ Submit, then distribute IRP5 certificates to employees

Employees cannot file their own tax returns until this data reaches SARS. A late reconciliation is not just your problem.

Annual COIDA return of earnings

- Declares actual earnings for the past year and estimated earnings for the coming year.
- An assessment follows, which must be paid to stay in good standing.
- A letter of good standing is required for many contracts and tenders — and cannot be issued if the return is outstanding.
- Directors and members who earn remuneration are generally included.

Records to keep, and for how long

- Payroll records, EMP201s, EMP501s and certificates: keep for at least five years from submission.
- Employment contracts and personnel files: keep for the duration of employment and at least three years after it ends.
- Attendance and overtime records: keep for at least three years.
- Digital copies are acceptable provided they are complete and readable.

Would you rather not do this yourself?

We have kept books, filed returns and run payrolls from Amanzimtoti since 1980. Twenty minutes on the phone costs nothing and usually saves something.

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This document is general information about South African accounting and tax practice. It is not advice for your particular circumstances, and rules change — usually with the annual Budget. Confirm anything you intend to rely on.